

15-4d Examples of Price Discrimination

Firms in our economy use various business strategies to charge different prices to different customers. Now that we understand the economics of price discrimination, let's consider some examples.

Movie Tickets

Many movie theaters charge a lower price for children and senior citizens than for other patrons. This fact is hard to explain in a competitive market. In a competitive market, price equals marginal cost, and the marginal cost of providing a seat for a child or senior citizen is the same as the marginal cost of providing a seat for anyone else. Yet the differential pricing is easily explained if movie theaters have some local monopoly power and if children and senior citizens have a lower willingness to pay for a ticket. In this case, movie theaters raise their profit by price discriminating.

Airline Prices

Seats on airplanes are sold at many different prices. Most airlines charge a lower price for a round-trip ticket between two cities if the traveler stays over a Saturday night. At first, this seems odd. Why should it matter to the airline whether a passenger stays over a Saturday night? The reason is that this rule provides a way to separate business travelers and leisure travelers. A passenger on a business trip has a high willingness to pay and, most likely, does not want to stay over a Saturday night, because business meetings are rarely held during weekends. By contrast, a passenger on vacation or visiting friends and family has a lower willingness to pay and is likely happy to spend the weekend at her destination. Thus, the airlines can successfully price discriminate by charging lower prices to passengers who stay over a Saturday night.

"Would it bother you to hear how little I paid for this flight?"



A one-panel cartoon shows a young man sitting next to a businessman on an airliner. The young man says, "Would it bother you to hear how little I paid for this flight?"

Discount Coupons

Many companies offer discount coupons to the public in newspapers, in magazines, or online. A buyer simply has to clip the coupon to get **\$0.50** off her next purchase. Why do companies offer these coupons? Why don't they just cut the price of the product by **\$0.50**?

The answer is that coupons allow companies to price discriminate. Companies know that not all customers are willing to spend time clipping coupons. Moreover, the willingness to clip coupons is related to the customer's willingness to pay for the good. A rich and busy executive is unlikely to spend her time clipping discount coupons out of the newspaper, and she is probably willing to pay a higher price for many goods. A person who is unemployed is more likely to clip coupons and to have a lower willingness to pay. Thus, by charging a lower price only to those customers who clip coupons, firms can successfully price discriminate.

Financial Aid

Many colleges and universities give financial aid to needy students. One can view this policy as a type of price discrimination. Wealthy students have greater financial resources and, therefore, a higher willingness to pay than needy students. By charging high tuition and selectively offering financial aid, schools in effect charge prices to customers based on the value they place on going to that school. This behavior is similar to that of any price-discriminating monopolist.

Quantity Discounts

So far in our examples of price discrimination, the monopolist charges different prices to different customers. Sometimes, however, monopolists price discriminate by charging different prices to the same customer for different units that the customer buys. For example, many firms offer lower prices to customers who buy large quantities. A bakery might charge **\$0.50** for each donut but **\$5** for a dozen. This is a form of price discrimination because the customer pays a higher price for the first unit she buys than for the twelfth. Quantity discounts are often a successful way of price discriminating because a customer's willingness to pay for an additional unit declines as she buys more units.

QuickQuiz

7. Price discrimination by a monopolist refers to charging different prices based on
- a. the consumer's willingness to pay.
 - b. the consumer's racial or ethnic group.
 - c. the cost of producing the good for a particular consumer.

d. whether the consumer is likely to become a repeat buyer.

8. When a monopolist switches from charging a single price to practicing perfect price discrimination, it reduces

a. the quantity produced.

b. the firm's profit.

c. consumer surplus.

d. total surplus.

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Printed By: Mike Benton (mbento6@wgu.edu)

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